

Management Model Exam

1. Checking account balance as a measure of the amount of money you have in that account is:

- A. Nominal scale
- B. Ratio scale
- C. Interval scale
- D. Ordinal scale

ANSWER: B

2. Which one of the following is true about arithmetic mean?

- A. The sum of the deviations of a set of items from their mean is always zero.
- B. If a constant k is added to every observation then the new mean will be the old mean + k .
- C. If it exists, the arithmetic mean of an observation is unique.
- D. All of the above

ANSWER: D

3. The mean weekly income of a shift foreman in the glass industry is normally distributed with a mean of \$1,000 and a standard deviation of \$100. What is the likelihood of selecting a foreman whose weekly income is between \$1,000 and \$1,100? ($Z_{0.0}=0.5$, $Z_{1.0}=0.8413$, $Z_{-1.0}=0.4602$)

- A. 84.13%
- B. 50%
- C. 34.13%
- D. 46.02%

ANSWER: C

4. A recent study by the Ethiopian Trade and Transport Ministry revealed that 60 percent of Ethiopian drivers use their seat belts. If a sample of 10 drivers on the Adama highway street is selected, what is the probability that exactly 7 are wearing seat belts?

- A. 0.215
- B. 0.042
- C. 0.096
- D. 0.500

ANSWER: A

5. A method of training which is especially useful to train electricians, mechanics, tailors.
- A. Web publishing
 - B. Job rotation
 - C. Apprenticeship
 - D. Coaching

ANSWER: C

6. A decision making environment in which the decision maker make decisions based on standing plans.
- A. Decision making under risk
 - B. Decision making under certainty
 - C. Decision making under conflict
 - D. Decision making under uncertainty

ANSWER: B

7. Things such as, titles, promotions, and a private office would be placed into which level of "Maslow's Hierarchy of Needs"?
- A. Belongingness.
 - B. Physiological.
 - C. Security.
 - D. Self-esteem.

ANSWER: D

8. Successful organizations do not achieve goals by chance but by following a deliberate process which is
- A. Planning
 - B. Co-ordination
 - C. Controlling
 - D. Management

ANSWER: D

9. _____ are relevant to recurring activities.
- A. Single-use plans
 - B. Objectives
 - C. Standing plans
 - D. Programs

ANSWER: C

10. Scientific management is comprised of which of the following two elements?
- A. Technology assessment and environmental design
 - B. Method study and work measurement
 - C. Method study and job design

D. Work measurement and job design

ANSWER: B

11. Among the following one considers and analysis the problems to take a corrective measures before any major damage is done and undertaken while the activity is on progress.

- A. Predictive controlling
- B. Concurrent controlling
- C. Historical controlling
- D. Feedback controlling

ANSWER: B

12. Organization structure establishes relationships between

- A. Organization and environment.
- B. People, work and resources.
- C. Organization and society.
- D. Suppliers and customers.

ANSWER: B

13. Which model provides the “best” or “Optimal” solution to problems subject to certain limitations on the use of resources?

- A. Probabilistic models
- B. Normative models
- C. Predictive models
- D. Simulation models

ANSWER: B

14. Which one of the following is **true** about the linear programming model using the simplex method?

- A. Artificial variables have zero coefficients in the objective function
- B. Surplus variables are introduced on the left-hand side of constraints for minimization case problems
- C. Slack variables are introduced on the left-hand side of constraints for minimization problems
- D. The optimal solution is the one that satisfies all constraints in a model

ANSWER: B

15. Which one of the following statement is **false**?

- A. Sensitivity analysis begins with the initial simplex tableau
- B. Duality helps for deciding how much to pay for additional unit of resources
- C. Duality is useful when investigating change in the parameters of an LP problem
- D. Within the range of optimality, the optimal values of the solution variables will not change

ANSWER: A

16. In the transportation model which one of the following statements is **true**?
- A. Its primary purpose is to maximize profit
 - B. If the problem is minimization, the first step is determining the opportunity cost table
 - C. Optimality is reached, if the cost reduction potentials of all empty cells (e_{ij}) are less than 0
 - D. A solution is degenerate if the number of occupied cells is less than the number of rows plus the number of columns minus one

ANSWER: D

17. Five jobs (J_1, J_2, J_3, J_4 , and J_5) need to be processed in a factory. Each job can be assigned to any of the five different machines (M_1, M_2, M_3, M_4 , and M_5). The time duration taken (in minutes) by the machines for each of the jobs is given as follows. $J_1-M_1=40, J_1-M_2=30, J_1-M_3=50, J_1-M_4=50, J_1-M_5=58; J_2-M_1=26, J_2-M_2=38, J_2-M_3=60, J_2-M_4=26, J_2-M_5=38; J_3-M_1=40, J_3-M_2=34, J_3-M_3=28, J_3-M_4=24, J_3-M_5=30; J_4-M_1=28, J_4-M_2=40, J_4-M_3=40, J_4-M_4=32, J_4-M_5=48; and J_5-M_1=28, J_5-M_2=32, J_5-M_3=38, J_5-M_4=22, J_5-M_5=44$. However, each job is assigned to a specific machine in such a way that the total processing time is minimum. Which allocation enables the factory to minimize the processing time?
- A. $J_1-M_1, J_2-M_2, J_3-M_3, J_4-M_4, J_5-M_5$
 - B. $J_1-M_2, J_2-M_5, J_3-M_3, J_4-M_1, J_5-M_4$
 - C. $J_1-M_3, J_2-M_5, J_3-M_4, J_4-M_1, J_5-M_2$
 - D. $J_1-M_2, J_2-M_1, J_3-M_4, J_4-M_3, J_5-M_5$

ANSWER: B

18. Which one of the following quantitative model is used for scheduling and controlling project activities?
- A. Transportation model
 - B. Assignment model
 - C. Game theory
 - D. Network model

ANSWER: D

19. Which one is different from the others?
- A. Minimax regret Criterion
 - B. Expected monetary value Criterion
 - C. Maximax/Minimin Criterion
 - D. Hurwitz Criterion

ANSWER: B

20. All of the following statements are true, except:
- A. Customer service is the key objective of operations management.

- B. Everything that we use today is produced through system
- C. Maintenance can be done at any time when defect occur
- D. Production and service delivery should consider the global context

ANSWER: C

21. An operations strategy which refers something that operation does better than anyone else is:
- A. Operation objective
 - B. Core competencies
 - C. Operations policy
 - D. Mission

ANSWER: B

22. When designers designing their operation, consider to achieve the following, Except:
- A. Competitive advantage
 - B. Financial reward
 - C. Demand decline
 - D. Competition

ANSWER: C

23. When the market demand is higher than production capacity, the permanently firms take the following, Except:
- A. Increase capacity
 - B. Reduce price
 - C. Raising price
 - D. Aggressive marketing

ANSWER: A

24. Choosing the right site for expansion and startup of a factory is.....
- A. Layout decision
 - B. Location decision
 - C. Quality decision
 - D. Maintenance decision

ANSWER: B

25. A type of layout to which arrangements to be done for the best personnel and machine utilization in repetitive production is...
- A. Process oriented layout
 - B. Retail layout
 - C. Product oriented layout
 - D. Fixed position layout

ANSWER: C

26. A method of statistical quality control for variables in control charts for detecting variations through central tendency can be represented.....bar

- A. P-Chart
- B. R-Chart
- C. C-Chart
- D. X-Chart

ANSWER: D

27. All of the following sequencing rules can consider jobs arrival at the work center and its due date, Except:

- A. Rush emergency
- B. First come first served
- C. Last come first served
- D. Earliest due date

ANSWER: A

28. A research which seeks to extend the boundaries of knowledge in a given area with no necessary immediate application to existing problems is ----.

- A. Applied research
- B. Basic Research
- C. Action research
- D. Exploratory research

ANSWER: B

29. Which one the following is **not** the main criteria that the investigator should undertake to define the research problem?

- A. The novelty of the problem should justify sufficiently original and employ most recent data.
- B. The research problem should help immediate application in solving an urgent problem.
- C. The problem should be interesting for the investigator to add knowledge in current practices
- D. The research problem should feasible to generate ambiguous conclusion.

ANSWER: D

30. All are correct related to research proposal **except**;

- A. It is an outline which tells us what, Why, how, where, and to whom the research will be done.
- B. Present the findings of the study, conclusion and recommendation for the study
- C. Discuss the research efforts of others who have worked on related management questions.
- D. To suggest the data necessary for solving the management question and how the data will be gathered, treated and interpreted.

ANSWER: B

31. The section of research that details the way in which the research was conducted is the _____.

- A. Data analysis
- B. Literature review
- C. Research methodology
- D. Conclusion and recommendations

ANSWER: C

32. All are the consequences of invalid/improper data collection **except**;

- A. Inability to answer research questions accurately
- B. Inability to repeat and validate the study
- C. Misleading other researchers and distort findings
- D. Provide Precision of data to maintain the integrity of research

ANSWER: D

33. Business research method course is being rated by 4th year Management students on a scale of 1 star to 5 stars. The ranking scale that indicates the relationship between top five students is---

- A. Ordinal scale
- B. Nominal scale
- C. Ratio scale
- D. Interval scale

ANSWER: A

34. Body of research report which comprises Brief statement of the problem, Objectives of the study, Method and procedures of data collection, analysis and Major findings is-----.

- A. Summary and findings
- B. Abstract
- C. Data analysis and discussion
- D. Conclusion and recommendation

ANSWER: B

35. Which of the following statement best explains the similarities between international and domestic marketing?

- A. In both markets, success depends upon satisfying the basic requirements of consumers.
- B. It is necessary to build goodwill both in the domestic market and international market.
- C. Research and development for product development and modification is necessary for both international marketing and domestic marketing.

D. All

ANSWER: D

36. Alemayehu recently developed a new software solution that he wants to market to other businesses. Given the complexity of the product, he wants to focus his promotional efforts on a method that will allow him to engage in two-way communication with potential clients and have them really listen to the message. Which promotional mix element is a good fit for Alemayehu's preferences?

A. Advertising

B. Public relations

C. Personal selling

D. Sales promotions

ANSWER: C

37. A pricing strategy used to stimulate market & sales growth by intentionally offering products at low prices is

A. Skimming pricing

B. Penetration pricing

C. Value based pricing

D. Differential pricing

ANSWER: B

38. Which of the following international intermediaries often has exclusive sales rights in a specific country and works in close cooperation with the manufacturer?

A. Export management company

B. Export broker

C. Purchasing agent

D. Foreign distributor

ANSWER: D

39. _____ is the process of a government's taking ownership of a property with some compensation or agrees to sell its operations not by choice but rather due to some explicit or implied coercion.

A. Confiscation

B. Domestication

C. Expropriation

D. Nationalization

ANSWER: C

40. XYZ is a China based construction & engineering company that has a contract with Ethiopian government to expand Bole international airport in Addis Ababa. XYZ

will design, construct, & equip the airport before turning the facility over to the Ethiopian government upon completion. Which entry mode for foreign market is used by XYZ?

- A. Foreign direct investment
- B. Turnkey project
- C. Franchising
- D. Joint venture

ANSWER: B

41. _____ refers to the process of maintaining uniformity of products and services sold in different markets without making any changes to it, except translation of words.

- A. Product standardization
- B. Product Customization
- C. Product Adaptation
- D. Product Modification

ANSWER: A

42. Which one of the following is **correct** about cultural relationship in the organization?

- A. Solidarity does not depend on close friendship or even personal acquaintance
- B. Sociability arises only from a perception of shared interest
- C. The downside of fragmented culture is that friendship can lead to a tolerance for poor performance
- D. Networked cultural organizations are made up of individuals commitment is first and foremost to individual members

ANSWER: A

43. Assume that Identical twins who were separated immediately at birth has been raised in very different situations found that they shared the same personality traits and job preferences. Therefore, the similarity in personality can be attributed to:

- A. Environment
- B. Heredity
- C. Situation
- D. All

ANSWER: B

44. All are the contributions of **anthropology** for the development of organizational behavior except_____

- A. Organizational environment
- B. Comparative attitude

- C. Cross cultural analysis
- D. Self-interest enhancement

ANSWER: D

45. Select the **correct** stage of group formation.

- A. Forming----- Storming----- Norming----- Performing----- Adjourning
- B. Norming----- Storming----- Forming ----- Performing----- Adjourning
- C. Forming----- Norming----- Performing----- Storming----- Adjourning
- D. Forming-----Performing----- Storming----- Norming----- Adjourning

ANSWER: A

46. **Commercial bank of Ethiopia** has departmentalized its branches by regions such as North, Central, South and West. Which base of departmentalization is used **Commercial bank of Ethiopia**

- A. Matrix Departmentalization
- B. Geographic Departmentalization
- C. Process Departmentalization
- D. Customer Departmentalization

ANSWER: B

47. All are **correct** about Hertzberg's two factor theory **except**

- A. The degree that motivators are present in a job, satisfaction will occur when absent, motivators do not lead to dissatisfaction
- B. The degree that hygiene are absent from a job, dissatisfaction will occur when present, hygiene prevent dissatisfaction but do not lead to satisfaction.
- C. Hygiene or maintenance factor are factors that uplift the attitudes or performance of workers.
- D. Motivating or Satisfier Factors include factors like achievement, personality, recognition, advancement, creative and challenging work, growth on job

ANSWER: C

48. Mr. Abebe is a manager of XYZ Company. He motivates his employees by promising them pay raises, promotion, recognitions and other benefits, if they perform in desired manner. What kind of power is used by Mr. Abebe to influence employees?

- A. Legitimate power
- B. Coercive power
- C. Reward power
- D. Referent power

ANSWER: C

49. The best way to minimize project risk is___

- A. Perform better planning
- B. Select a project manager who has advanced degrees
- C. Select a project manager who is a technical expert
- D. Have a senior executive assigned as the sponsor

ANSWER: A

50. Which of the following is not project management goal?
- A. Keeping overall costs within budget
 - B. Delivering the value to the customer at the agreed time
 - C. Maintaining a happy and well-functioning development team
 - D. Avoiding customer complaints

ANSWER: D

51. Among the following which one is not related with the concept of bottom-up approach
- A. Requires base line surveys
 - B. Which is based on the realities existing in different localities
 - C. May get community support better than top-down approach
 - D. Formulated at the decision of officials at the top.

ANSWER: D

52. Evaluating the feasibility of an alternative in terms of the funds and resources available to support a project for the organization is a measure of
- A. Organizational feasibility
 - B. Legal feasibility
 - C. Technical feasibility
 - D. Economic feasibility

ANSWER: D

53. The technique used to find the sequence of tasks with zero slack(float) is most closely associated with
- A. Project network programs
 - B. Gant charts
 - C. Critical path analysis
 - D. PERT

ANSWER: C

54. The common stock of a company must provide a higher expected return than the debt of the same company
- A. There is less demand for stock than for bonds

- B. There is greater demand for stock than for bonds
- C. There is a more systematic risk involved for the common stock
- D. There is a market premium required for bonds

ANSWER: B

55. Which one of the following is **incorrect** about strategic management?

- A. It focuses on major & long-term issues of the organization
- B. It allows objective view & prioritization of the firm's opportunities
- C. It provides a favorable condition for change
- D. It increases chance of dis-integration among organizational units

ANSWER: D

56. Which one of the following is not true about vision & mission statements?

- A. A vision indicates the future aspiration of the firm whereas mission indicates the reason for existence
- B. A good mission provides declaration of social attitude and customer orientation
- C. A mission statement is the foundation for preparation the vision statement
- D. Vision and mission statements allow synergy among organizational members by accommodating divergent views

ANSWER: C

57. Which one of the following is false about strategies?

- A. A decision related with which business to enter and which business to abandon is a corporate level strategy
- B. A business level strategy focuses on decisions of how to compete in a specific strategic business unit
- C. A cost leadership strategy focuses on producing standardized products to obtain economies of scale advantage
- D. A forward integration strategy is an attempt to increase sales & profits from existing products by increasing marketing efforts

ANSWER: D

58. Which one of the following environments **is not** the source of an organization's strengths & weaknesses?

- A. Political stability of instability
- B. The organizations value chain activities
- C. Functional areas of the organization
- D. Resources used in the organization's activities

ANSWER: A

59. Which one of the following **does not** best describe strategy implementation?
- A. It is the most difficult task in the strategic management process as it involves a transition from strategic thought to strategic action
 - B. It affects all parties within the organization as it requires the involvement of everyone in that organization
 - C. It demands revising the organizational structure and objective based resource allocation
 - D. Resistance & conflict resolutions are not the primary concerns of management during strategy implementation.

ANSWER: D

60. Which one of the following is false regarding strategy evaluation & control?
- A. It involves the re-evaluation of a firm's environment and developing revised EFEM, IFEM & CPM
 - B. It focuses on obtaining immediate feedback & taking corrective actions
 - C. Fabrication of numbers by lowers managers & rapidly changing environments are major challenges of evaluation activities
 - D. Too much emphasis on evaluation & control allows an organization to important its performance

ANSWER: D

61. If the mean of population is 25 then the mean of sampling distribution will be

- A. 25
- B. 30
- C. 5
- D. 35

ANSWER: A

62. Which one of the following statistical test is appropriate to analyze a nominal Data?
- A. T- test
 - B. ANNOVA
 - C. Regression analysis
 - D. **Chi square Test**

ANSWER: D

63. Mr. Alemu conducted a research on the effect of on job training on employee performance. And he found the Alpha value $\alpha = 0.062$ for the effect of on job training on employee performance. What will be the decision if 95 % confidence level is used?

- A. It is significant, and there is effect of on job training on employee performance.
- B. It is insignificant significant, and there is effect of on job training on employee performance.
- C. It is significant, and t there is effect of off job training on employee performance.
- D. It is insignificant significant, and there is no effect of on job training on employee performance.**

ANSWER: D

64. State the null and alternative hypothesis to determine if the average number of hours played on the golf course is more than 12 hours per week.

- A. $H_0: \mu \leq 12$ hours and $H_1: \mu > 12$ hours**
- B. $H_0: \mu \geq 12$ hours and $H_1: \mu < 12$ hours
- C. $H_0: \mu = 12$ hours and $H_1: \mu \neq 12$ hours
- D. $H_0: x \leq 12$ hours and $H_1: x > 12$ hours

ANSWER: A

65. Of the following, one is a wrong statement.

- A. Total quality management (TQM) is an example of revolutionary changes.
- B. Kaizen is an example of evolutionary changes.
- C. Planned changes are new events that are well thought of by leaders in advance
- D. Conflict can be constructive if it is well managed by leaders.

ANSWER: A

66. Which one of the following is incorrect statement?

- A. People's willing participation is one determinant of effective leadership
- B. Transparency may be an indicator for the presence of good leadership
- C. Being emotional is highly required from a leader
- D. Development will be an illusion where good governance is not there

ANSWER: B

67. _____ is the approach that should be taken if all others techniques fails.

- A. Compromise
- B. Altering the human variable
- C. Authoritative command
- D. Altering the structural variable

ANSWER: C

68. All are the reasons why trait theory was not effective in identifying leader from non-leader except?

- A. Not all leaders possess all of the traits identified

- B. The list of potentially important traits is endless
- C. All traits are not equally important in all situations
- D. Traits are easy to measure traits

ANSWER: D

69. Suppose that you are a political leader and you told to your community if you elect me in the 2025 election I will offer adequate electric power. Thus, your leader's leadership can be called as:

- A. Servant leadership
- B. Transactional leadership
- C. Authentic leadership
- D. Transformational leadership

ANSWER: B

70. Which one of the following is the most difficult form of change?

- A. Changing a strategy
- B. Changing the structure
- C. Changing a People
- D. Changing a regulation

ANSWER: C

ANSWER: A

71. ____refers to the lack of tangible assets that can be seen touched, smelled, heard, or tested prior to purchase.

- A. Perish ability
- B. inseparability
- C. Intangibility
- D. Tangibility

ANSWER: D

72. Which one of the following are **not** environmental factors which hinder entrepreneurial growth?

- A. Sudden changes in government policy
- B. Reliable supply of power, materials, finance, labor and other inputs
- C. Hostile Government attitude towards industry
- D. Excessive corruption among Government agencies

ANSWER: B

73. As per Ansoff Matrix_____ is a type of growth strategy that increases the market share of existing products in the existing market.

- A. Market penetration
- B. Product development
- C. Market development
- D. Diversification

ANSWER: A

74. If an organizations objective were to reach masses of buyers that were geographically dispersed at a low cost per exposure, the organization would likely choose which of the following promotion forms?

- A. Publicity
- B. Personal selling
- C. Advertising
- D. Sales promotion

ANSWER: C

75. All are the size criteria used to classify small business except.

- A. Sales volume
- B. Insurance in force
- C. Market share
- D. Volume of deposits

ANSWER: B

76. Assume that you are an entrepreneur as a result, it is expected from you to influence your customer to buy your product; to induce a lender to provide you finance and convince suppliers to supply quality product at the right time. Hence, which entrepreneurial competencies you have possessed?

- A. Self-confidence
- B. Persuasion
- C. Networking
- D. Determination

ANSWER: B

77. All are categorized in the same category except.

- A. Employer-purchased insurance
- B. Unemployment insurance
- C. Health insurance
- D. Maternity and parental leave

ANSWER: B

78. Mr. Abebe is a manager of ABC Company while he is evaluating his workers he preferred to rate them from best to worst based on different parameters. This kind of performance appraisal method is called?

- A. Forced distribution method

- B. Alternation ranking method
- C. Graphic rating scale method
- D. Critical incident method

ANSWER: B

79. If you want to identify employee work behavior problems and discuss solutions, which positive discipline step you will prefer?

- A. Final warning
- B. Written documentation
- C. Counseling
- D. Discharge

ANSWER: C

80. One is different from the others.

- A. Colleges and Universities
- B. Media advertising
- C. Executive search firms
- D. Private employment agencies

ANSWER: A

81. Suppose that you are HR manager of Pikock Company thus you are in charge to determine the available manpower and the needed human resources in future. Therefore, which HRM function you are performing?

- A. Recruitment
- B. Training and development
- C. Human resource planning
- D. Selection

ANSWER: C

82. Which one of the following is correct statement?

- A. Promotion involves moving an employee into a position with the same benefit
- B. Promotion involve lateral or downward movement of employees
- C. Transfers do not necessarily increase job responsibilities
- D. The term demotion is one of the most emotionally charged words in the field of human management.

ANSWER: C

83. One is different from the others.

- A. Government and union restrictions
- B. Organizational image
- C. Labor market conditions
- D. Composition of labor force

ANSWER: B

84. Which one of the following is wrong about training and development?

- A. Training is short term
- B. Development is long term
- C. Training focused on future career
- D. Training focuses on current job

ANSWER: C

85. You are directed to study the demographic, economic, natural, technological, political, and cultural factors that are larger societal forces affecting your company. What are you studying?

- A. The macro environment
- B. The microenvironment
- C. The external environment
- D. The global environment

ANSWER: A

86. Which of the following stages of the new-product development process is the first filter, which serves to eliminate new-product ideas that are inconsistent with the organization's new-product strategy or are obviously inappropriate for some other reason?

- A. Applied diffusion
- B. Introductory diffusion
- C. Test marketing
- D. Idea screening

ANSWER: D

87. _____ pricing is the approach of setting a low initial price in order to attract a large

Number of buyers quickly and win a large market share.

- A. Market-skimming
- B. Market-penetration
- C. Below-market
- D. Value-based

ANSWER: B

88. The practice of tailoring products and marketing programs to suit the needs of specific individuals is called

- A. Niche Marketing
- B. Mass Marketing
- C. Micro-Marketing
- D. Macro-Marketing

ANSWER: C

89. Banks, credit companies, insurance companies, and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods and services are referred to as _____.

- A. Financial intermediaries
- B. Physical distribution firms
- C. Marketing services agencies
- D. Wholesalers

ANSWER: A

90. _____ the concept holds that consumers will favor those products that are widely available and low in cost.

- A. Marketing Concept
- B. Production Concept
- C. Product concept
- D. Selling concept

ANSWER: B

91. Assume ABC Company products have high level of buyer's involvement & significant difference between brands because the product is expensive, risky & purchased infrequently by customers. Which type of consumer buying decision behavior well explained by this case

- A. Complex buying behavior
- B. Variety-seeking buying behavior
- C. Habitual buying behavior
- D. Dissonance reducing buying behavior

ANSWER: A

92. Which of the following is not the characteristic of information mostly required by operational level managers?

- A. Internal in nature
- B. Pre-specified in nature
- C. Detailed in nature
- D. infrequent in nature

ANSWER: D

93. -----refers to the various hardware, software, networking, and data management components necessary for the system to operate.

- A. Information technology
- B. Information system
- C. Database management
- D. Computer

ANSWER: B

94. -----attributes of quality information refers to information should be provided in a form that is easy to understand.

- A. Clarity
- B. Accuracy
- C. Detail
- D. Completeness

ANSWER: A

95. Hardware resources includes;

- A. IS specialists & end users
- B. Machine & media
- C. Programs & procedures
- D. Data & network resources

ANSWER: B

96. Assume you are the manager of a given business and your business has a higher quick or acidic test ratio than the industry average, therefore in your business this situation implies that

- A. The firm has a higher return on asset ratio than firms in the industry
- B. The firm is more likely to avoid insolvency in short run than other firms in the industry
- C. The firm may be less profitable than other firms in the industry
- D. B and C

ANSWER: D

97. Which of the following statements is `not correct concerning with shareholder wealth maximization in a given business?

- A. Wealth of shareholders is increased by dividends received and capital gains on shares owned.
- B. Share prices may increase irrespective of the decisions of managers.

- C. A rise in earnings per share will cause an increase in shareholder wealth.
- D. All of the above.

ANSWER: C

98. Which Capital budgeting decision rule does not consider the time value of money?
- A. Internal rate of return
 - B. Payback period
 - C. Discounted payback period
 - D. Net present value

ANSWER: B

99. Bonds that may be exchanged for common stock at the option of the bondholders are called
- A. Options.
 - B. Stock bonds.
 - C. Convertible bonds.
 - D. Callable bonds.

ANSWER: C

100. Among the following which one is true about mutually exclusive projects
- A. The acceptance or rejections are independent of one another
 - B. The acceptance of one prevents the selection of any alternative projects
 - C. The firm can accept both projects if they have positive NPV
 - D. All of the above

ANSWER: B